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"IF WE DO EVERYTHING RIGHT, BY 2011

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MUCH MORE ROBUST
RETURN OF GROWTH."

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controlling a good part of the financial system. The question is whether there should be also a de jure control of it or not. And my answer is yes. It is better to take over the banks, clean them up and sell them back than keep them alive the way they are.

How severe is the US recession? This is the worst recession we have had in the last 60 years and globally the worst financial crisis we have had since the Great Depression. Recession technically started in the US in December 2007 and we are right in the 15th month of this. It is not

any more a V, we are in the middle of a U, we are almost a year-and-a-half into recession and the fall in output is going to continue at least through the end of 2009. Job losses are going to continue all the way through the end of next year even if economic growth is going to become positive and therefore, the recession could last 36 months into the end of 2010. Usually job losses continue about a year after recession is technically over. So we are going to be, in the best of scenarios, in a U-shaped recession and if we do everything right, by 2011 there will be return of growth. This is really ugly and severe.

Almost every advanced economy entered a recession by the third quarter of last year and this recession has been accelerating its speed and degree of contraction. In the case of emerging market economies, you also see the beginnings of a hard landing. Take China. A slowdown from 10 per cent to 5 per cent growth would be a hard landing. The manufacturing sector in China is already in a recession. And in the first quarter of this year, things don't look any better. Growth in India has slowed down to slightly above 5 per cent. It is an open question how much more that contraction could be this year or whether there will be a recovery.

We can avoid it becoming worse, but it requires much more effort and incredible leadership to restore business, consumer, financial market's and public confidence. We should work together because in this globalised economy we swim or sink together.

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DISCUSSION

Q. Are your new president, new administration up to nationalising US banks?

A. Their approach is a little more cautious. They have put in place a stimulus plan of \$800 billion, a plan to avoid mortgage foreclosures and are trying to find out the banks which are insolvent. However, the problem is with speed and quality of action. Stimulus is only \$200 billion this year; the mortgage plan doesn't bring down liabilities and banks need to be taken over and cleaned up.

Q. There is huge optimism here and in China that we will come out of the crisis faster than others. Is this justified?

A. Certainly in the medium term, the growth opportunities for emerging world, and for China and India, are very large. However, if the global economic contraction is severe and if the US, Europe and Japan don't get their act together, there is no way that policy action in China and India by themselves can get them out of this slump.

Q. Until now the US has not

been prepared to be disciplined by the IMF or by global institutions. Is this a wakeup call or will the US still insist on exceptionalism for itself in the management of the global economy?

A. For the US, it is a wakeup call. Will the US accept the global discipline? I don't know. Right now the situation is one in which every country is doing its own thing. The positive thing about the US is that now you have a new administration, so that there are multilateralists, no unilateralist, one that believes in

global cooperation.

Q. How much of this crisis is manmade and how much is it by accident?

A. The blame will have to be shared by the US and the rest of the world. In the US, they kept the rates too low for too long and then they brought it back to normal, too little and too slowly. That partly created the housing bubble. There was poor regulation and excessive greed. But many of the same excesses occurred one way or the other in many other countries.